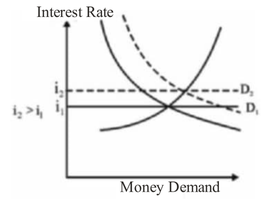
(c) a decrease in the rate of interest
(d) an increase in the level of income and employment

Ans : (b) This is a simple supply and demand question. Since the supply of money is constant and its demand is increasing, there will be an increase in interest rate. It does not have much to do with the level of prices and the increase in the level of income and employment.



52. The national income of a country for a given period is equal to the –
(a) total value of goods and services produced by the nationals.
(b) Sum of total consumption and investment expenditure.
(c) sum of personal income of all individuals.
(d) money value of final goods and services produced.

Ans: (d) National income means the sum of the monetary value of the final goods and services produced as a result of the economic activities of a nation in a year. This includes the prices of all final goods and services that have been produced by ordinary residents of the country living within or outside the domestic boundary. It also includes the means of income earned from abroad.

53. Consider the following Statements:
1. Inflation benefits the debtors.
2. Inflation benefits the bond-holders.

Which of the statements given above is/are correct?
(a) 1 only (b) 2 only
(c) 1 and 2 both (d) Neither 1 nor 2

Ans : (a) For debtors,the "real" interest rate goes down with inflation. Thus it benefits them. On the other hand, with inflation, the yield of the bond goes down, thus a negative effect for bondholders.

54. In India, deficit financing is used for raising, resources for –
(a) economic development
(b) redemption of public debt
(c) adjusting the balance of payments
(d) reducing the foreign debt

Ans : (a) India is a developing county. For the development of infrastructure here, the government takes the help of deficit financing so that economic development can be made possible.

• Agriculture, Industry & Trade

55. Which one among the following industries is the maximum consumer of water in India ?
(a) Engineering (b) Paper and pulp
(c) Textiles (d) Thermal power

Ans : (d) Of the total water used by the industry, thermal power plants are the biggest users of water and account for 88% of the total industrial water use. They are followed by engineering (5.05%), pulp & paper (2.26%) and textiles (2.07%) industries.

56. With reference to the usefulness of the by-products of sugar industry, which of the following statements is/are correct ?
1. Bagasse can be used as biomass fuel for the generation of energy.
2. Molasses can be used as one of the feedstocks for the production of synthetic chemical fertilizers.
3. Molasses can be used for the production of ethanol.

Select the correct answer using the codes given below :
(a) 1 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans : (c) Option 1 : When burned by a Sugar mill, bagasse, the fibrous material left over after the juice is extracted from sugarcane, usually produces enough electricity to power all of the mills operations.
Option 2 : Molasses fertilizer is an organic fertilizer.
Option 3 : Sugarcane ethanol is an alcohol based fuel produced by the fermentation of Sugarcane juice and molasses. Sugarcane ethanol has emerged as a leading renewable fuel for the transportation sector.

• Money & Banking, Tax System, Financial Relations of Center and States

57. Priority Sector Lending by banks in India constitutes the Lending to –
(a) agriculture
(b) micro and small enterprises
(c) weaker sections
(d) All of the above

Ans : (d) According to the priority sector, lending norms of the RBI banks have to extend at least 40% of their credit to the priority sector. Some of the priority sectors mentioned by the RBI are agriculture, micro and small enterprises, education, housing, exports, credit & loans to weaker sections.

58. Economic growth in country X will necessarily have to occur if –
(a) there is technical progress in the world economy.
(b) there is population growth in X.
(c) there is capital formation in X.
(d) The volume of trade grows in the world economy.

Ans : (c) a & d statement does not say anything about country X, only about the general world economy. In b, if there is population growth without any avenues for the economy to absorb them, it will have a deteriorating effect. C is the most appropriate option as whenever there is capital formation in country, it will lead to growth.

59. Which of the following grants / grant direct credit assistance to rural households ?
1. Regional Rural Banks
2. National Bank for Agriculture and Rural Development
3. Land Development Banks

Select the correct answer using the codes given below :
(a) 1 and 2 only (b) 2 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans : (c) NABARD do not provide direct assistance. It "refinance" the assistance by other institutions.

60. Which of the following constitute Capital Account?
1. Foreign Loans
2. Foreign Direct Investment
3. Private Remittances
4. Portfolio Investment

Select the correct answer using the codes given below:
(a) 1,2 and 3 (b) 1,2 and 4
(c) 2,3 and 4 (d) 1, 3 and 4

Ans : (b) Capital account is related to financial transactions. It includes the following facts–
- Short and long term international capital transfers.
- Exchange of gold.
- Private payments.
- Payments and receipts related to national institutions.
- Government Loans, interest, grants etc., are included.
- All the transactions in the Capital Accounts are only related to financial transfers, so it has no direct effect on the production, income and employment of the country.

61. Consider the following liquid assets :
1. Demand deposits with the banks.
2. Time deposits with the banks.
3. Savings deposits with the bank.
4. Currency

The correct sequence of these assets in the decreasing order of liquidity is
(a) 1-4-3-2 (b) 4-3-2-1
(c) 2-3-1-4 (d) 4-1-3-2

Ans : (d) Liquidity of currency is highest. Next will come demand liabilities as they have to be cleared when demanded.The next is savings and least liquidity will be of time deposits. [Currency > Demand Deposits > Saving deposits > Time deposits]

62. In the context of Indian economy, 'Open Market Operations' refers to
(a) borrowing by scheduled banks from the RBI
(b) lending by commercial banks to industry and trade
(c) purchase and sales of government securities by the RBI
(d) None of the above

Ans : (c) The repo and reverse repo rates are used when RBI purchases or sells government securities. The open market operations of RBI refer to the sale and purchase of government securities by the RBI in the open market. Most central banks use this as their primary tool of monetary policy. The sale of government securities by the RBI leads to an increase in interest rates and contraction in liquidity, while the purchase of government securities by the RBI leads to a fall in interest rates and an expansion of liquidity.

63. The Reserve Bank of India regulates the commercial banks in matters of
1. liquidity of assets 2. branch expansion
3. merger of banks 4. winding-up of banks

Select the correct answer using the codes given below :
(a) 1 and 4 only (b) 2, 3 and 4 only
(c) 1, 2 and 3 only (d) 1, 2, 3 and 4

Ans : (d) The Reserve Bank of India Controls Commercial banks as follows–
- By Liquidity of assets
- By Merger of Banks
- By Branch expansion
- By Winding up of banks

64. An increase in the Bank Rate generally indicates that the –
(a) market rate of interest is likely to fall
(b) Central Bank is no longer making loans to commercial banks
(c) Central Bank is following an easy money policy
(d) Central Bank is following a tight money policy

Ans : (d) Increase in Bank Rate means that interest rates will rise. This means that money becomes dearer and borrowing becomes more expensive. This squeezes out liquidity from the economy and so, it can be said that RBI is following a tight money policy.

• Foreign Trade of India, Economic Organizations & Stock Market

65. Which one of the following groups of items is included in India's foreign-exchange reserves ?
(a) Foreign-currency assets, Special Drawing Rights (SDRs) and loans from foreign countries.
(b) Foreign-currency assets, gold holdings of the RBI and SDRs.
(c) Foreign-currency assets, loans from the World Bank and SDRs.
(d) Foreign-currency assets, gold holdings of the RBI and loans from the World Bank